substantially lower. For example, the depth of the oversold reading in the Arms index (a measure of momentum utilizing breadth and volume) in September 1987, just a few weeks off the all-time high, was the deepest in three years, yet it was *not* a "buy signal," as was popularly assumed. In fact, it was one of the earliest hints that the tide had changed, as the measly 9% correction of the time was accompanied by great selling pressure. Two weeks *after* the rally into October 2, the oversold level achieved by this index was not only huge, it was historic. During bull markets of Primary degree, most mild oversold readings indicate Intermediate degree bottoms. In the bear market, most mild overbought readings will indicate Intermediate degree tops. During the bull market, the best strategy has been to look for oversold conditions and short term downside divergences to buy. During the bear market, the best strategy will be to look for overbought conditions and short term upside divergences to sell short. Any bottoms that will lead to tradable rallies will be marked by oversold conditions that are both deep *and* divergent, and not all of those will be trustworthy.